

BLOCK 4

EXCHANGE RATE AND BALANCE OF PAYMENTS

Unit 7	Exchange Rate Regimes
Unit 8	Components of Balance of Payments
Unit 9	Impossible Trinity: Alternative Scenarios
Unit 10	Approaches to Balance of Payments

BLOCK INTRODUCTION

This block comprises of four units.

Unit 7: **Exchange Rate Regimes** deliberates on the concepts of foreign exchange, exchange rate, and exchange rate regimes. It distinguishes between different forms of exchange rate regimes: fixed, floating, and managed float along with their advantages and disadvantages. To delve deeper into the various exchange rate regimes, the unit traces briefly the historical development of international exchange rate regimes and examine operational aspects of the current exchange rate regimes. It also provides an overview of India's current exchange rate regime.

Unit 8: **Components of Balance of Payments** examines the framework used to summarize a country's international transactions: Balance of Payments (BOP). While explaining the concept of BOP, the Unit describes the components of the current and capital account of BOP and highlights the significance of autonomous and accommodating items. The unit also provides comparison between BOP and BOT, current and capital account of BOP and autonomous and accommodating transactions of BoP. The Unit also throws light on nature and implications of BOP disequilibrium. Along with discussing the issues associated with BOP disequilibrium, this Unit also suggests policy measures for correcting disequilibrium.

Unit 9: **Impossible Trinity: Alternative Scenarios** elucidates Macroeconomic policy trilemma, also called the impossible trinity. It explains the components of the impossible trinity: free capital mobility, exchange-rate management and an independent monetary policy and examines the impossibility of achieving all three components simultaneously. The unit also digs deeper into impossible trinity by analysing the empirical evidence. It also points out the problem of rupee convertibility in meeting the conditions of the impossible trinity.

Unit 10: **Approaches to Balance of Payments (BoP)** throws light on various approaches to BOP adjustment: The Elasticity Approach, the Absorption Approach, the Keynesian approach; and the monetary approach. The unit delves deeper by explaining these approaches and highlighting their importance in making BOP policy.

UNIT 7 EXCHANGE RATE REGIMES *

Structure

- 7.0 Objectives
- 7.1 Introduction
- 7.2 Concepts
- 7.3 Importance of foreign exchange for the economy
- 7.4 Evolution of international exchange rate regimes
 - 7.4.1 The Pre-World War I (WWI) financial order (1870–1914)
 - 7.4.2 Between the World Wars (1919–1939)
 - 7.4.3 The Bretton Woods Era (1945–1971)
 - 7.4.4 The post-Bretton Woods system (1971–present)
- 7.5 Forms of Exchange rate regime
 - 7.5.1 Fixed exchange rate
 - 7.5.2 Floating exchange rate
 - 7.5.3 Managed floating
 - 7.5.4 Recurrence of instability suggests a new regime
- 7.6 India's exchange rate regime
- 7.7 Let us sum up
- 7.8 Key Words
- 7.9 Some Useful References
- 7.10 Answer/Hints to Check your Progress Exercises

7.0 OBJECTIVES

After studying this Unit, you should be able to:

- explain the concepts of:
foreign exchange,
exchange rate, and exchange rate regimes;
- distinguish between different forms of exchange rate regimes;
- discuss the advantages and disadvantages of: fixed, floating, and managed float;
- trace briefly the historical development of international exchange rate regimes;
- examine operational aspects of the current exchange rate regimes; and
- provide an overview of India's exchange rate regime.

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7.1 INTRODUCTION

The exchange rate regime greatly impacts world trade and financial flows. The volume of such transactions and the speed at which they are growing highlight the crucial role of the exchange rate in today's world, thereby making the exchange rate regime a central piece of any national economic policy framework. The choice of an appropriate exchange rate regime—floating, managed or fixed arrangements—for individual countries is important. After all, an exchange rate regime that looks soft to one observer may look hard to another—which reflects, among other things, a lack of information among different players about foreign exchange markets and purchases or sales of foreign exchange by central banks. Which exchange rate regime and associated policies are appropriate for a country depending on its circumstances? No country can afford to be entirely indifferent to the behaviour of its exchange rate as it is closely related to the country's monetary policy, with both depending on common factors of influence and impact. In this unit, we discuss various aspects of the foreign exchange regime.

7.2 CONCEPTS

It is important to understand terms such as 'foreign exchange', 'exchange rate', and 'exchange rate regime' as they are central to understanding the economy around.

Foreign Exchange: 'Foreign exchange' refers to money denominated in a currency other than the domestic currency. Foreign exchange can be cash, funds available on credit cards and debit cards, and bank deposits.

Exchange rate: The rate at which a currency of one country exchanges for another country's currency is called the '*exchange rate*'. The exchange rate can either be expressed in terms of the number of units of domestic currency per unit of foreign currency (direct quotation) as in the case of most currencies such as the Indian rupee. For example, if the exchange rate between the rupee and the US dollar (USD) is quoted as Rs.65, this means that Rs.65 is required to purchase US\$1.00. Or the number of units of foreign currency per unit of domestic currency (indirect quotation) as in the case of some major trading currencies such as the pound sterling and the Australian dollar. When the value of the domestic currency increases in terms of another currency, it is referred to as a nominal appreciation of the domestic currency. In contrast, a decrease in the value of the domestic currency in terms of a foreign currency is known as nominal depreciation.

Exchange rate regime: An exchange rate regime is the process by which a country manages its currency with respect to foreign currencies. Exchange rate regimes can broadly be categorized into two extremes: fixed and floating. Between these, there are several combinations of the two. The exchange rate system refers to the arrangement for the movement of the exchange rate. Countries in the world operate under different exchange rate regimes.

7.3 IMPORTANCE OF FOREIGN EXCHANGE FOR THE ECONOMY

The exchange rate is a key financial variable that affects decisions made by foreign exchange investors, exporters, importers, bankers, businesses, financial institutions, policymakers and tourists in the developed and developing world. Exchange rate fluctuations affect the value of international investment portfolios, the competitiveness of exports and imports, the value of international reserves, the currency value of debt payments, and the cost to tourists in terms of the value of their currency. Thus, exchange rate movements have important implications for the economy's business cycle, trade and capital flows and are therefore crucial for understanding financial developments and changes in economic policy.

The exchange rate performs the same function as other prices in a mixed economy market. It provides information and incentives to guide decisions about what to produce and what to consume. Considered as a price, however, the exchange rate has special qualities. It is probably the single most important price in the economy. It affects numerous other prices and touches the interests of many people. This makes it the centre of much controversy with major exchange rate changes inviting popular attention. The exchange rate further links the general level of prices in the national economy with prices in other countries.

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Define Exchange Rate.

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2) Why do exchange rates exist?

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3) Why is it important to study the exchange rate regime?

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7.4 EVOLUTION OF INTERNATIONAL EXCHANGE RATE REGIMES

The first modern international exchange rate regime was the gold standard. The adoption of the Gold Standard was a gradual process. There was no international legal foundation—no treaties, agreements or conferences. The various versions of the gold standard used were:

- a) gold specie standard,
- b) gold bullion standard, and
- c) gold exchange standard.

Fiat currencies are the norm in today's national economies and the current exchange rate regime. Stages in the development of an exchange rate regime may be grouped under the following *four* heads:

7.4.1 The pre-World War I (WWI) financial order (1870–1914)

The *gold standard* widely adopted in this era rested on converting paper notes into pre-set quantities of gold. From the 1870s to the outbreak of World War I in 1914, the world benefited from a well-integrated financial order, sometimes known as the *first age of globalisation*. Transactions were facilitated by widespread participation in the gold standard by independent nations and their colonies. This era saw mostly steady growth and a relatively low level of financial crises. The pre-World War I financial order was not created at a single high-level conference; rather it evolved organically in a series of discrete steps.

7.4.2 Between the World Wars (1919–1939)

The years between the world wars have been described as a period of *de-globalisation*, as both international trade and capital flows shrank compared to the period before World War I. During World War I, countries had abandoned the gold standard and, except for the United States, returned to it only briefly. By the early '30s, the prevailing order was essentially a fragmented system of floating exchange rates. In this era, the experience of Great Britain and others was that the gold standard ran counter to the need to retain domestic policy autonomy.

By the end of World War I, Great Britain was heavily indebted to the United States, allowing the USA to largely displace her as the world's number one financial power. As the *Great Depression* intensified in 1930, financial institutions were hit hard along with trade. Frequent changes in exchange rates introduced considerable uncertainty and made things difficult for the smooth conduct of international trade. This was amply proved by the experience of countries during the inter-war period, i.e., 1919-1939, which was marked by:

- i) competitive devaluation of currencies;
- ii) chaos in foreign exchange markets;
- iii) the decline in world trade;

- iv) imposition of trade restrictions; and
- v) widespread unemployment.

The lessons of the inter-war experience with exchange rates are:

- a) exchange rates should be reasonably stable for the smooth conduct of international trade;
- b) this can be achieved if countries, particularly advanced countries, cooperate; and
- c) International cooperation is the basis of a sound international monetary system or international exchange arrangement.

7.4.3 The Bretton Woods Era (1945–1971)

The principal architects of the new system, John Maynard Keynes and Harry Dexter White created a plan which was endorsed by the 42 countries attending the 1944 Bretton Woods conference, formally known as the United Nations Monetary and Financial Conference. The plan involved nations agreeing to a fixed but adjustable exchange rate system where the currencies were pegged against the dollar, with the dollar itself convertible into gold. So in effect, this was a gold-dollar exchange standard. There were several improvements to the old gold standard. Two international institutions, the International Monetary Fund (IMF) and the World Bank were created. The new exchange rate system allowed countries facing economic hardship to devalue their currencies by up to 10% against the dollar (more if approved by the IMF) – thus they would not be forced to undergo deflation to stay in the gold standard. A system of capital controls was introduced to protect countries from the damaging effects of capital flight and to allow countries to pursue independent macroeconomic policies while still welcoming flows intended for productive investment. However, pressing circumstances caused President Nixon to end all convertibility into gold on 15 August 1971. This event marked the effective end of the Bretton Woods system resulting in a system of floating exchange rates.

7.4.4 The post-Bretton Woods system (1971–present)

President Nixon is credited with ending the Bretton Woods Accord, and fixed rates of exchange, eventually creating a free-floating currency system. The current era has seen huge and turbulent flows of capital between nations. The transition away from Bretton Woods was marked by a switch from a state led to a market-led system. The Bretton Woods system is considered by economic historians to have broken down in the 1970s. Crucial events being:

- i) Nixon suspended the dollar's convertibility into gold in 1971,
- ii) the United States abandonment of capital controls in 1974, and
- iii) the UK's ending of capital controls in 1979 which was swiftly copied by most other major economies.

The contemporary exchange rate regime popularly known as ‘**non-system**’ is profoundly different from those envisaged at the 1944 meeting at Bretton Woods. The IMF officially endorsed the non-system at a meeting in Jamaica in January 1976. In the current system, exchange rates among the major currencies (principally the U.S. dollar, the euro, and the Japanese yen) fluctuate in response to market forces, with short-run volatility and occasional large medium-run swings. The IMF's approach continues to advise member countries on the implications of adopting different exchange rate regimes, consider the regime's choice to be a matter for each country to decide, and provide policy advice that is consistent with the maintenance of the chosen regime.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

- 1) Briefly outline the historical development of the exchange rate regime before World War II.

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- 2) Examine the exchange rate regime from the Bretton Woods era to the present.

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7.5 FORMS OF EXCHANGE RATE REGIME

7.5.1 Fixed exchange rate

Under a fixed exchange rate system, a country's monetary authority agrees to manage its affairs to maintain a fixed ratio between the value of its own currency and that of other countries. A country's currency, therefore, has a definite objective value in terms of the other currencies into which it can be freely converted. The domestic currency is tied to another foreign currency, mostly more widespread currencies such as the U.S. dollar, the euro, the Pound Sterling or a basket of currencies. The government (or the central bank acting on the government's behalf) intervenes in the foreign exchange market to ensure that the exchange rate stays close to a predetermined target.

Under this system, exchange rate stability is achieved but if the exchange rate is fixed at the wrong rate, it may be at the expense of domestic economic stability. In a fixed exchange rate system, a rise in the exchange rate of the domestic currency *vis-à-vis* another foreign currency is called a *devaluation*. This means

that more of the domestic currency is needed to buy 1 unit of a given foreign currency. On the other hand, when the exchange rate falls, it is termed as a *revaluation*. These terms imply a deliberate decision on the government's part to change the exchange rate level. For example, a government's policy decision to devalue the domestic currency *vis-à-vis* the US dollar from Rs.65 to Rs.70.

It is important to realize that fixity cannot be achieved by simple government decree. There are powerful economic forces at work in the foreign exchange markets; restricting the movement of currencies requires equally decisive countervailing action by the authorities. This can take two broad forms: direct intervention in the foreign exchange using so-called *open market operations*, or the less direct option of *interest rate manipulation*. Fixing an exchange rate very rarely involves establishing a single point away from which a currency is not permitted to move. The usual approach is to define a *target zone* for the currency. The authorities then respond with appropriate measures when market forces threaten to move the currency above or below the zone. Theoretically, then, it is possible to hold a currency at any given rate, so long as the associated excess demand or supply of the currency at that rate can be met. The other policy measure that can be used as an alternative or supplement to open market operations involves the noted use of interest rates.

Advantages

- i) Provides greater certainty for exporters and importers as there are no or limited exchange rate risks. Hence it promotes long-term capital flows.
- ii) There is no fear of the adverse effect of speculation on the exchange rate.
- iii) Businesses have the knowledge that the price is fixed and therefore not going to change; it is relatively easier for them to plan.
- iv) Encourages international trade by making prices of goods involved in trade more predictable. It leads to low inflation.
- v) Imposes the discipline necessary for exchange rate stability; monetary policy must be coordinated. Keynes was a chief architect of Bretton Woods and a strong proponent of fixed rates. Many Keynesians agree that government intervention is necessary to promote exchange rate stability. However, the question remains how to attain a stable exchange rate system?

Disadvantages

- i) Have a high administration cost. Needs a complicated exchange control mechanism which may lead to the misallocation of resources.
- ii) A significant gap between the official rate and that determined by the market can promote black markets. In a black market, most foreign exchange transactions are carried out outside the banking system.
- iii) This may force the government to draw down on reserves to meet its obligations and cause a scarcity of foreign exchange.

- iv) Restricts the ability of countries to conduct policy autonomously.
- v) Inimical to the very desirable objective of free trade.
- vi) May achieve exchange rate stability but at the expense of domestic economic stability.

7.5.2 Floating exchange rate

A flexible system follows free market principles. Exchange rate determination is left entirely to the currency supply and demand processes, and governments do not attempt to manipulate the market to have particular exchange rate outcomes. *Popular regimes run the gamut from currency boards and traditional pegs to crawling pegs, target zones and floats with varying degrees of intervention.* It is closely related to monetary policy and the two are generally dependent on many of the same factors. The broad system of flexible exchange rates prevailing in the world economy since 1973.

Since market forces determine the exchange rate, the upward and downward movements in the value of the rupee are *appreciation and depreciation*. *Depreciation of the rupee* refers to the decrease in the external value of the domestic currency that occurred due to the operation of market forces. *Appreciation of the rupee* refers to the increase in the external value of the domestic currency that occurred due to the operation of market forces. The exchange rate is determined in the open market through the pressure of buying and selling foreign currencies.

Advantages

- i) A flexible exchange rate system confers several advantages upon economies that adopt it:
- ii) Continuous changes are easier to adjust to.
- iii) Less likely to permit a payments crisis to develop. Appropriate corrective exchange rate movements will swiftly dissipate any early or 'incipient' deficit or surplus that might arise. This system *automatically* provides for a balance of payments stability without the need for any action whatsoever by policy-makers.
- iv) Less politicized and authorities do not intervene in the market for foreign exchange and there is minimal need for international reserves.
- v) Less likely to have adverse domestic repercussions. Provides fewer incentives for destabilizing speculation. Financial instruments are available to hedge the risks posed by a fluctuating exchange rate.
- vi) Allows nations to pursue their own *independent* economic goals in respect of the other objectives of macro policy. Gives the government/monetary authorities flexibility in determining interest rates. This is because interest